CHAPTER 18

Private Equity

Chapter Summary

Private equity (PE) is not an asset class. Performance measurement of PE is hampered because commonly used metrics are not returns and are often manipulated. On the whole, PE does not outperform publicly traded stocks on a risk-adjusted basis, but there is large dispersion among PE funds. PE contracts are complicated and exacerbate, rather than ameliorate, agency problems.

1. South Carolina Retirement Systems

Curtis Loftis Jr., a Republican appointed state treasurer of South Carolina in January 2011, had a mess to clean up.[1]

South Carolina's public pension plan held $24.5 billion to meet its liabilities, but like many public pension funds faced a large funding shortfall (see chapter 1), in this case of $14.4 billion dollars. In an attempt to fill this hole, the pension fund started to move aggressively into PE and other alternative illiquid assets five years ago. The move was led by Robert Borden, who was appointed the pension fund's first CIO in the spring of 2006.

Before 2007, South Carolina law did not permit its pension fund to put money into investments that weren't publicly traded. Borden shook things up. His flamboyant, yellow Lamborghini brought a taste of Wall Street's excesses to Columbia, South Carolina, but the car was the least of it. He introduced exotic PE and other alternatives to the state's public employees' pension fund, which previously invested exclusively in regular bonds and public equity. PE and other alternative investments now count for $13 billion, or more than half the fund's assets.

Loftis was skeptical on whether these fancy, illiquid investments added value. The fees were high: in 2011 alone, South Carolina paid $344 million in investment

[1] This is based on the articles Corkery, M., "Weaning Off 'Alternative' Investments," *Wall Street Journal*, Jan. 30, 2012, and Creswell, J., "South Carolina's Pension Push into High-Octane Investments," *New York Times*, June 9, 2012.